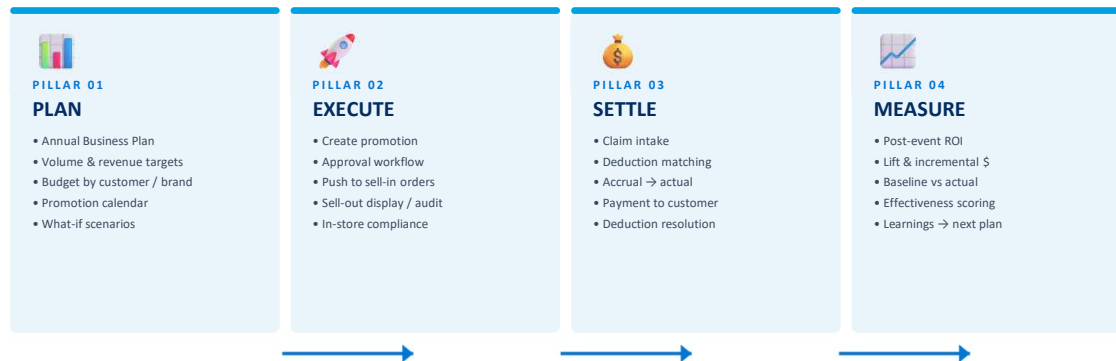


Trade Promotion Management — Overview

TPM plans, funds, executes, and measures every trade-spend dollar — closed loop across HQ, Sales, Finance, and Retail.

01 • TPM CAPABILITY BLOCK DIAGRAM

4 FUNCTIONAL PILLARS



Closed loop — Measure feeds next Plan cycle · every promotion learning becomes input to next year's ABP

15–25%

Of gross revenue = trade spend

2nd

Largest P&L line after COGS

~59%

Of promos fail to break even

+8–12%

ROI uplift w/ good TPM

Why TPM matters: the largest controllable cost in CG — small improvement in effectiveness = major P&L impact.

02 • SALESFORCE TPM DATA MODEL

ROOT

Account Plan __c

Promotion (Header)

Name · Customer · Date range · Budget · Status

Promotion Tactic (1..n)

Discount · Display · Rebate · Bundle

Promotion Product (1..n)

SKU · list price · promoted price · volume plan

Fund Assignment (n)

Fund · % allocated · accrual method

Claim / Deduction (n)

Customer submission · matched · paid

KEY ACTORS

KAM

Creates · owns

Trade Mgr

Approves fund use

Finance

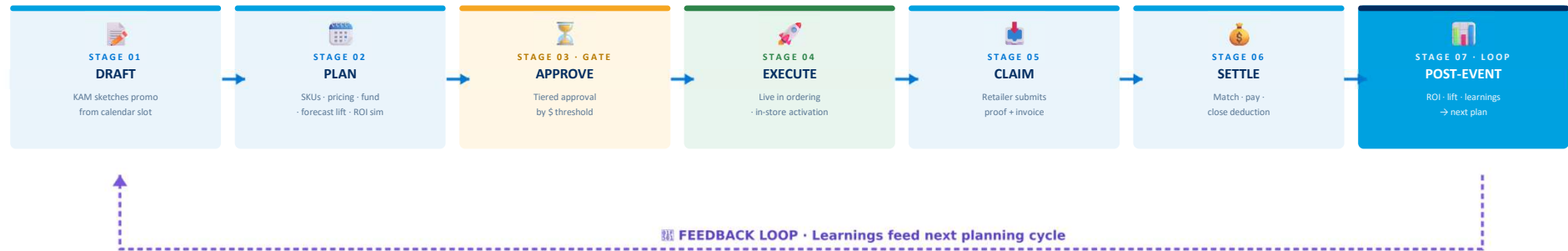
Settles claims

Native objects: Promotion · Fund · Claim — no custom build needed

Promotion Lifecycle — 7 Stage Flowchart

Concept to post-event review — every promotion follows the same 7 stages with clear gates, owners, and dwell times.

01 • LIFECYCLE FLOW — 7 States Left → Right



02 • STAGE DWELL TIMES & OWNERSHIP

STAGE	TARGET DWELL	OWNER	KEY OUTPUT
Draft → Plan	5-10 business days	KAM · Trade Analyst	Approved plan + ROI sim
Approve	< 48 hours	Trade Mgr · Finance	Locked budget · fund reserved
Execute	2-8 weeks live	KAM · Rep · Retailer	Volume + compliance data
Claim → Settle	30-90 days post-event	Finance · AR	Deduction closed + paid
Post-event	≤ 14 days after settle	Trade Analyst	ROI scorecard + learnings

03 • GATE CHECKS BETWEEN STAGES

- Gate 1 — Plan → Approve**: ROI ≥ threshold · Fund available · SKU eligible
- Gate 2 — Approve → Execute**: All approvers ✓ · Contract signed · System go-live
- Gate 3 — Execute → Claim**: End-date reached · Compliance proof received

Trade Planning — 3-Tier Wiring Diagram

Top-down targets meet bottom-up plans in an iterative reconcile — Strategy → Customer Plan → Promotion.

01 • PLANNING CASCADE — 3 Tiers

TIER 01 • TOP-DOWN

Strategic Plan (HQ)

- Total trade \$ envelope
- Growth targets by brand
- Channel investment mix

Owner: VP Sales · Trade Marketing Director

Cadence: Annual · reviewed quarterly

Outputs: Fund pool per region · KPI targets · category priorities

Tools: CRM Analytics · scenario planner



TIER 02 • JOINT

Customer Plan (KAM)

- Volume x price per SKU
- Promo slots per quarter
- Fund draw + rebate mix

Owner: KAM (Key Account Manager)

Cadence: Annual JBP + quarterly refresh

Outputs: Approved Customer Plan · locked fund allocation

Tools: Salesforce Account Plan · JBP template



TIER 03 • BOTTOM-UP

Individual Promotion

- Specific mechanic
- Dates · SKUs · display
- Lift forecast · ROI sim

Owner: KAM · Trade Analyst

Cadence: Ongoing · locked 4-8 weeks before go-live

Outputs: Approved Promotion record ready for execution

Tools: Salesforce Promotion object · TPM Wizard

Reconcile loop: Bottom-up sum must ≤ top-down pool. Gap triggers re-plan negotiation (KAM ↔ Trade Mgr).

02 • PLANNING INPUTS & RECONCILE

5 KEY PLANNING INPUTS

Historical volume · promo lift by SKU x customer
Last 24 months · seasonally adjusted

Growth objectives · brand priorities
From strategic plan · category ambition

Available fund pool · accrual rate
% of revenue committed per customer

Retailer priorities · competitive intel
JBP inputs · category plans

New product launches · innovation
NPD calendar · launch support needs

WHAT-IF SCENARIO ENGINE



Baseline

Continue current mix



Optimized

Reallocate to top ROI



Aggressive

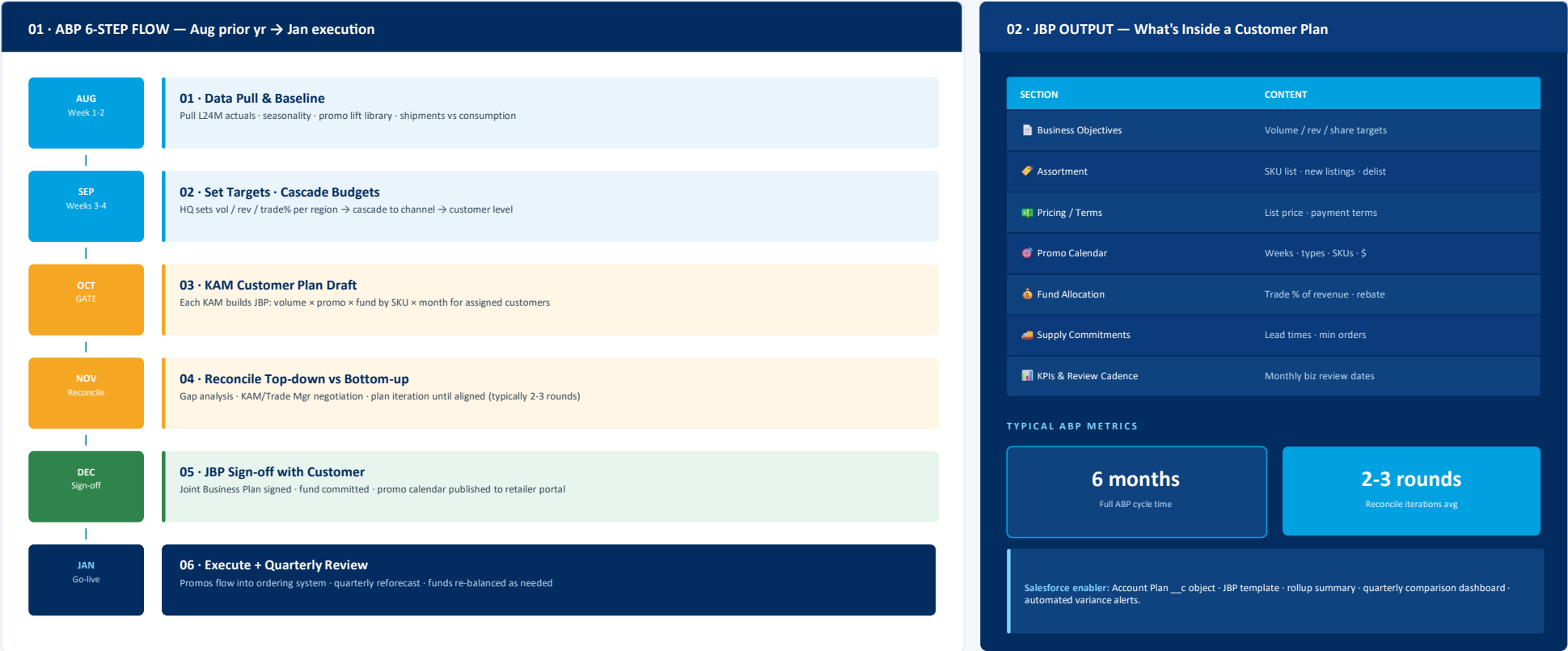
+15% investment

PLANNING KPIs

- Plan lock-in date: ≥ 60 days pre-quarter
- Bottom-up vs top-down gap: ≤ 5%
- KAM plan submission rate: ≥ 95%

Annual Business Planning (ABP) — Flowchart

6-month cycle from data pull to signed JBP · fiscal Q3 (Aug-Oct) prior year → Q1 next year execution.



Promotion Types — Classification Block Diagram

Two axes: Sell-IN (to retailer) vs Sell-OUT (to shopper) · 8 mechanic families across 4 objectives.

01 · TWO CATEGORIES — Sell-IN vs Sell-OUT

SELL-IN · Manufacturer → Retailer

TYPE 01

Off-Invoice Discount

Immediate % or \$ off order line · funded via **bill-back** or **off-invoice**.
Use: launch stock-in, volume push

TYPE 02

Volume Rebate

Accrued % back once retailer hits volume threshold · paid quarterly.
Use: sustained growth, loyalty

TYPE 03

Listing / Slotting Fee

One-time payment for shelf space on new SKU · typically per store × SKU.
Use: NPD launch, new distribution

TYPE 04

Free Goods / BOGO

"Buy X get Y free" line-level offer at order time.
Use: sample new SKU, clearance

SELL-OUT · Retailer → Shopper

TYPE 05

TPR (Temporary Price Reduction)

Shelf-tag price cut for shopper · funded by manufacturer via scan-back.
Use: drive weekly volume lift

TYPE 06

Display / End-Cap

Off-shelf feature (end-cap, island, floor stand) — paid per store per week.
Use: impulse category boost

TYPE 07

Feature Ad

Retailer's weekly ad (print / digital / app) featuring the SKU + price.
Use: awareness x price play combo

TYPE 08

Consumer Coupon / Loyalty

Digital / paper coupon redeemable at checkout · loyalty-app targeted.
Use: personalized shopper marketing

02 · 4 OBJECTIVES — What to Pick



OBJECTIVE 01 · Launch new SKU

Best mix: Listing fee + Display + Feature Ad + TPR (4 weeks)



OBJECTIVE 02 · Drive volume

Best mix: Off-invoice + TPR + End-cap



OBJECTIVE 03 · Reward loyalty

Best mix: Volume rebate + JBP incentive



OBJECTIVE 04 · Clear inventory

Best mix: BOGO + Deep TPR (short window)

Rule of thumb: Never combine deep TPR + off-invoice on same SKU · doubles cost, single lift.

Promotion Calendar — 12-Month Gantt View

Fiscal year at a glance · customer × month × promo type — the single source of truth for coordination.

01 · FY GANTT — Customer × Month × Mechanic

CUSTOMER	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC
WalMart	TPR	Display	Vol Rebate	Off-Invoice			BOGO Clearance			Feature Ad	HOLIDAY MEGA · TPR+Display+Ad	
Kroger	Coupon Blast		Off-Invoice · Spring		NPD Launch	Summer Volume Rebate			Back-to-School Display		HOLIDAY · TPR + Coupon	
Costco	Multi-Pack Bundle · Q1			MPX Rebate · 6-mo continuous					Instant Coupon		HOLIDAY Gift Bundle Program	
Target	Loyalty App	Off-Invoice Spring Push			Summer TPR + End-Cap Program		BOGO Back-to-School				HOLIDAY Full Marketing	
Amazon	Digital Coupon			PRIME DAY	Q3 Volume Push			Halloween Coupon		BLACK FRI	HOLIDAY Digital Blitz	

LEGEND

Sell-In

Sell-Out

Peak Event

NPD Launch

CALENDAR RULES

- Max 1 promo per SKU per customer at any time
- Cool-off period: ≥ 4 weeks between deep TPRs
- Peak weeks locked to top-3 customers only
- Retailer visibility ≥ 60 days pre-launch

CONFLICT DETECTION

Salesforce auto-flags:

- SKU overlap in same customer × week
- Same-mechanic collision within 2 weeks
- Promo end-date past fund window

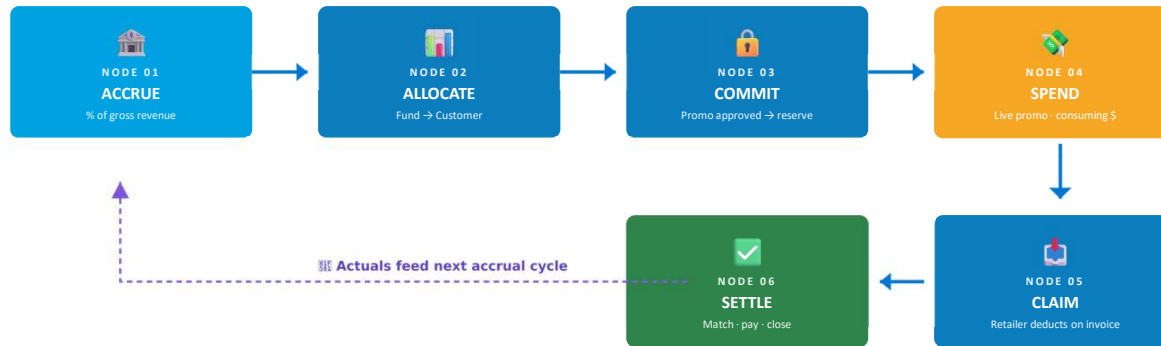
SALESFORCE CALENDAR VIEWS

- Customer view: Vertical, per KAM
- Brand view: Cross-customer for brand mgrs
- Region view: Trade Mgr rollup
- Global view: HQ dashboard · drill-down

Trade Spend Management — Money Flow

From accrual to payment — how every trade \$ moves through the system with 3 controls.

01 • TRADE \$ WIRING — 6 Node Flow



3 SPEND STATES AT ANY TIME

■ **Accrued** (available) · ■ **Committed** (reserved to promo) · ■ **Paid** (settled & closed)

3 CONTROL KPIS

≤ 3%

Fund Leakage
Committed but no promo tied

≤ 30 days

Claim Cycle Time
Claim received → paid

≥ 92%

Match Rate
Deductions matched to promo

02 • DEDUCTION RESOLUTION FLOW

STEP 01
Retailer short-pays invoice with deduction

STEP 02 • AUTO
System matches to promo (SKU × dates × \$)

STEP 03 • BRANCH
Match ✓ → close · No match → Case for AR

STEP 04 • CLOSE
Fund debited · promo actual updated · learnings logged

AUTO-MATCH TIERS

✓ **Exact:** \$ + SKU + dates match → auto-close (~70%)

⚡ **Fuzzy:** ± 5% tolerance · needs review (~22%)

✗ **Unmatched:** AR case · manual investigation (~8%)

TARGET AUTO-MATCH

≥ 90%